

I don't have the speed I used to have. I am not a sniper anymore. I used to be like lightning; always moving. I don't move as fast anymore. There are things I do differently now. That's part of my evolution. Maybe I am a bit early, but if I am early, I don't get bigger just because I think I'm right. There are a lot of things that I have changed. Even though the market has been straight up this year, I'm still net ahead. I have made more money than most guys who've been net long for our firm.

How can you still be ahead when you have been wrong on the market?

I have some kind of knack for it. I don't know exactly what the knack is. Maybe it's being comfortable in situations where everyone is nervous. I always take some money off the table when the market is in my favor. Regardless of whether it is a lot or a little bit. Even if the market is down only $\frac{1}{2}$ percent or 1 percent and I think the market should be 10 percent lower, I'm still taking money off. That saves me a lot of money, because when the market rallies, I have a smaller position. That is a habit I have had since day one. I always take money off the table when it's in my favor. Always, always, always.

But this past month, the market has hardly been down.

It's been very limited. I have been short an average of about 15 to 25 million this month. I have probably taken about 20 percent of that position off every morning that we were down in the first 30 minutes. Whatever is red—it doesn't make a difference what the symbol is, or whether the stock is down only fifty cents or a dollar—I am taking some off. It is almost mechanical. It is sort of like my internal program that I do regardless of what the news is. If the market then goes up again, I am reselling the same 20 percent of my short at prices that are maybe 3 percent higher than where I covered. So the average share price on my shorts goes up. But it is a lot of work. Going along with whatever the market is doing doesn't make sense to me, and I have to honor that. I have made money every year in my career. Even though my system is flawed—I'm not entirely disciplined and I give myself too much leeway—it has still worked for me.

How did you develop your trading style?